Adjustment *B* assumes conversion of the $15,000,000 of convertible 5s, issued in 1934, thus increasing the earnings by the amount of the interest charges but also increasing the common-stock issue by 750,000 shares. (The foregoing adjustments are independent of any possible modifications in the reported earnings arising from the questioning of the depreciation charges, etc., as previously discussed.)

	Earnings* for common as reported			Adjustment *A*		Adjustment *B*		
Year	Amount of shares	Number	Per share	Number of shares	Earned per share	Amount	Number of shares	Earned per share
1933	$2,392	1,751	$1.37	1,751	$1.37	$3,140	2,501	$1.26
1932	2,491	1,751	1.42	1,751	1.42	3,240	2,501	1.30
1931	4,904	1,751	2.80	1,751	2.80	5,650	2,501	2.26
1930	5,424	1,751	3.10	1,751	3.10	6,170	2,501	2.47
1929	6,621	1,657	4.00	1,741	3.80	7,370	2,491	2.95
1928	5,009	1,432	3.49	1,739	2.88	5,760	2,489	2.30
1927	3,660	1,361	2.69	1,737	2.11	4,410	2,487	1.76
7-year average			$2.70		$2.50			$2.04

* Number of shares and earnings in thousands.

Corresponding adjustments in book values or current-asset values per share of common stock should be made in analyzing the balance sheet. This technique is followed in our discussion of the Baldwin Locomotive Works exhibit in Appendix Note 70 in which outstanding warrants are allowed for.

ALLOWANCES FOR PARTICIPATING INTERESTS

In calculating the earnings available for the common, full recognition must be given to the rights of holders of participating issues, whether or not the amounts involved are actually being paid thereon. Similar allowances must be made for the effect of management contracts providing for a substantial percentage of the profits as compensation, as in the case of investment trusts. Unusual cases sometimes arise involving "restricted shares," dividends on which are contingent upon earnings or other considerations.

Example: Trico Products Corporation, a large manufacturer of automobile accessories, is capitalized at 675,000 shares of common stock, of which 450,000 shares (owned by the president) were originally "restricted" as to dividends. The unrestricted stock is first entitled to